

enforceability of these contracts, the relevant bankruptcy codes, and the enforceability of the foreign judgments before investing in international debt securities. Overlapping jurisdictions and conflicting laws can make enforcement costly, time-consuming, and unpredictable. A judgment regarding bonds subject to New York law that is handed down in a U.S. court may take decades to enforce if the underlying collateral is located in Mexico or Argentina.

WITH ASSETS OF NATIONAL SIGNIFICANCE, CAVEAT EMPTOR

It is sometimes profitable to invest in companies that play an important role in significant industries in a country—they may receive a degree of protection because they are a national champion. There can also be pitfalls in purchasing shares in an asset of national significance controlled directly or indirectly by a foreign government, as in the case of Électricité de France (“EdF”). In November 2005, the French government sold a 12.7% stake in EdF, raising €6.35 billion at €32 per share. However, after an initial run-up to €70 per share within two years of its November 2005 IPO, EdF shares slowly and steadily ground their way down to a July 2022 price of €7.85 per share. Over the years, EdF has continued to sell power below market price, a policy that is popular among ratepayers. EdF also maintained a bloated employee base to keep its unions happy. The offshore minority shareholders of EdF, who do not vote in local elections, have suffered as a result of this mismanagement of EdF by the politicians. EdF has remained a political football: in 2022, as the French president sought a way to show he was seeking to ease rising energy costs caused by the Russia-Ukraine war, he talked about renationalizing EdF, likely at a price far below that of its 2005 IPO.

The case of Coal India Limited mirrors the case of EdF. Coal India went public in October 2010 by selling 10% of its equity to domestic and foreign investors while the government of India retained the